Improvement in QoQ Realizations & Occupancies

Est. Vs. Actual for Q3FY24: Revenue – **INLINE**; EBITDA Margins – **INLINE**; PAT – **INLINE**

Changes in Estimates post Q3FY24

FY24E/FY25E: Revenue 2.0%/3.8%;EBITDA Abs. 4.5%/5.6%; PAT 5.6%/6.2%

Recommendation Rationale:

- Indian Hotels (IHCL) reported consolidated revenue growth of 16.5% YoY which stood in line with our expectations.
- The Q3 is seasonally a strong quarter and this growth was mainly due to the increase in RevPAR to Rs 9,840, up 24.9% YoY in domestic hotels. IHCL' RevPAR in international assets, US declined by -3.0% YoY while increasing by 10% YoY in the UK respectively.
- EBITDA margins of 37.3%, up 187bps YoY however impacted by EBITDA losses (-1.1%) in US opeartions.

Sector Outlook: **Positive**

Company Outlook & Guidance: The RoIC across the Hotel Industry has reached to ~40%-50% that reflects the payback period in range to 2-2.5 years. This type of payback could bring increase in supply of rooms in upcoming quarters especially in mid luxury segment. Further improvement from this level, however, seems to be limited now.

Current Valuation: PE 45x for FY26 earnings (Earlier Valuation: PE 40x)

Current TP: Rs 525/share (Earlier TP: Rs 415/share)

Recommendation: HOLD

Financial Performance

Indian Hotels (IHCL) reported consolidated revenue growth of 16.5% YoY, in line with our expectations. The Q3 is seasonally a strong quarter and this growth was mainly due to the increase in RevPAR to Rs 9,840, up 24.9% YoY in domestic hotels. IHCL' RevPAR in international assets, US declined by -3.0% YoY while increasing by 10% YoY in the UK respectively. It reported an Consolidated EBITDA margins of 37.3%, up 187bps YoY however impacted by EBITDA losses -1.1% in US opeartions. PAT stood at Rs 477 Cr, up 18.2% YoY, led by revenue growth and strong operating leverage. The standalone business reported a 470bps YoY improvement in occupancies to 76.8% and a +17.2% YoY increase in realizations to Rs 18,111 compared to Q3FY23.

The company reported the highest-ever consolidated annual revenue, an all-time high and industry-leading EBITDA margin, and PAT of over Rs 477 Cr – a historic first for the company. This performance was led by four consecutive quarters of sustained high demand and further supported by IHCL demonstrating RevPAR leadership across its brand landscape in all key markets.

Outlook: In 9MFY24, standalone occupancies and realizations reached 75.8% and Rs 14,566 respectively. **The RoIC across the Hotel Industry has reached to ~40%-50% that reflects the payback period in range to 2-2.5 years. This type of payback could bring increase in supply of rooms in upcoming quarters especially in mid luxury segment. Further improvement from this level, however, seems to be limited now.** Supply, too, could match in non-luxury segment in the upcoming years. Major events like G20 and Worldcup, too, have passed. Its US assets are expected to incur losses over the next 4-6 quarters. We expect high single-digit topline growth over the next 3 years. **Rich Valuations like EV/EBITDA 28.2 & PE 43.0x FY26E lead to limited upside**. Against this backdrop, we change our Rating to "HOLD".

Key Financials (Consolidated)

(Rs Cr)	Q3FY24	QoQ (%)	YoY (%)	Axis Est.	Variance %
Net Sales	1,964	37.0	16.5	1900	3.4
EBITDA	732	106.4	22.6	680	7.7
EBITDA Margin	37.3%	1,253	187	35.8%	-
Net Profit	477	166.1	18.2	460	3.7
EPS (Rs)	3.4	166.1	18.2	3.2	3.7

Source: Company, Axis Research

(CMP as of 2 Feb 2024)

CMP (Rs)	500
Upside /Downside (%)	5%
High/Low (Rs)	515/298
Market cap (Cr)	71,210
Avg. daily vol. (6m)Shrs.	60,00,000
No. of shares (Cr)	142.0

Shareholding (%)

	Jun-23	Sep-23	Dec-23
Promoter	38.2	38.2	38.1
FIIs	21.6	22.2	23.3
MFs / UTI	19.3	18.2	17.2
Others	20.9	21.5	21.4

Financial & Valuations

Y/E Mar (Rs Cr)	FY24E	FY25E	FY26E
Net Sales	6,299	7,029	7,406
EBITDA	1,980	2,319	2,449
Net Profit	1,225	1,525	1,650
EPS (Rs.)	8.6	10.7	11.6
PER (x)	58.0	46.6	43.0
EV/EBITDA (x)	36.4	30.4	28.2
P/BV (x)	7.8	6.7	5.8
ROE (%)	13.4	14.4	13.5

Change in Estimates (%)

Y/E Mar	FY24E	FY25E
Sales	2.0%	3.8%
EBITDA	4.5%	5.6%
PAT	5.6%	6.2%

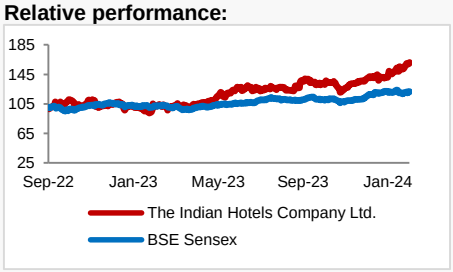
ESG disclosure Score**

Environmental Disclosure	N.A.
Social Disclosure Score	N.A.
Governance Disclosure Score	N.A.
Total ESG Disclosure Score	N.A.
Sector average	N.A.

Source: Bloomberg, Scale: 0.1-100

**Note: This score measures the amount of ESG data a company reports publicly and does not measure the company's performance on any data point. All scores are based on 2023 disclosures

Relative performance:



Source: Capitaline, Axis Securities

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Key Risks to our Estimates and TP

- The economic slowdown in India may impact the demand for the travel Industry.
- An increase in supply could impact the realizations of the company.
- Negative operating leverage is a big hurdle to sustaining EBITDA margins.

Change in Estimates (Rs Cr)

	New		Old		% Change	
	FY24E	FY25E	FY24E	FY25E	FY24E	FY25E
Sales	6,299	7,029	6,176	6,770	2.0%	3.8%
EBITDA	1,980	2,319	1,894	2,197	4.5%	5.6%
PAT	1,225	1,525	1,160	1,435	5.6%	6.2%

Source: Company, Axis Securities

Results Review

Particulars (Rs Cr)	Q3FY23	Q4FY23	Q1FY24	Q2FY24	Q3FY24
Net Sales	**1,686**	**1,625**	**1,466**	**1,433**	**1,964**
Growth (YoY %)	**51.7%**	**86.4%**	**15.8%**	**16.3%**	**16.5%**
Total Expenditure	1,089	1,090	1,056	1,078	1,231
Raw Material	140	126	115	112	153
% of sales	**8.3%**	**7.7%**	**7.9%**	**7.8%**	**7.8%**
Gross margins (%)	**91.7%**	**92.3%**	**92.1%**	**92.2%**	**92.2%**
Employee Expenses	424	422	429	441	469
% of sales	25.2%	26.0%	29.2%	30.7%	23.9%
Other Expenses	524	543	512	526	610
% of sales	31.1%	33.4%	34.9%	36.7%	31.0%
EBITDA	**597**	**535**	**410**	**355**	**732**
EBITDAM (%)	**35.4%**	**32.9%**	**28.0%**	**24.8%**	**37.3%**
Interest	57	57	57	59	53
Depreciation	103	108	109	111	114
Other Income	58	29	49	48	40
PBT	**495**	**400**	**294**	**232**	**605**
Tax	116	98	83	72	167
Tax (%)	23.4%	24.5%	28.3%	31.1%	27.6%
Reported PAT	379	302	211	160	438
Associate Profit	25	37	25	19	39
PAT after EoI	**404**	**339**	**236**	**179**	**477**

Source: Company, Axis Securities

Geographical Breakup

Particulars (Rs Cr)	Q3FY23	Q4FY23	Q1FY24	Q2FY24	Q3FY24
Occupancy %	72.1	74.7	74.7	75.9	76.8
ARR (Rs)	15,456	16,915	12,614	12,972	18,111
RevPAR (Rs)	11,137	12,634	9,428	9,840	13,909
Room Revenue	452	499	377	400	575
F & B Revenue	400	417	320	315	457
Management fee			95	87	
Other Revenue	232	250	99	147	290

Source: Company, Axis Securities

Financials (consolidated)

Profit & Loss

(Rs Cr)

Y/E March	FY23	FY24E	FY25E	FY26E
Net Sales	**5,810**	**6,299**	**7,029**	**7,406**
Growth (%)	**90.1%**	**8.4%**	**11.6%**	**5.4%**
Total Expenditure	4,005	4,318	4,710	4,957
Raw Material Consumed	473	526	609	642
Gross margins (%)	**91.9%**	**91.7%**	**91.3%**	**91.3%**
Employee Expenses	1,582	1,669	1,801	1,892
% of sales	27.2%	26.5%	25.6%	25.6%
Other Expenses	1,950	2,123	2,300	2,423
% of sales	33.6%	33.7%	32.7%	32.7%
EBIDTA	**1,805**	**1,980**	**2,319**	**2,449**
EBITDAM (%)	**31.1%**	**31.4%**	**33.0%**	**33.1%**
Depreciation	416	426	437	451
% of GB	3.6%	3.5%	3.5%	3.5%
EBIT	1,389	1,554	1,883	1,998
EBITM (%)	23.9%	24.7%	26.8%	27.0%
Interest	236	224	182	139
Other Income	139	188	206	206
Share of P/L of Associates	81	100	107	116
PBT	1,376	1,618	2,014	2,180
Tax Rate (%)	**23.7%**	**24.3%**	**24.3%**	**24.3%**
Tax	323	393	489	530
Reported PAT	**1,053**	**1,225**	**1,525**	**1,650**

Source: Company, Axis Securities

Balance Sheet

(Rs Cr)

Y/E March	FY23	FY24E	FY25E	FY26E
Share Capital	142	142	142	142
Reserves & Surplus	7,840	8,999	10,459	12,044
Net Worth	7,982	9,142	10,601	12,186
Total Loan funds	3,139	2,639	2,139	1,639
Deferred Tax Liability	157	157	157	157
Long Term Provisions	107	107	107	107
Other Long Term Liability	37	37	37	37
Capital Employed	**13,668**	**14,359**	**15,481**	**16,650**
Gross Block	11,675	12,075	12,475	12,875
Less: Depreciation	2,857	3,283	3,719	4,170
Net Block	8,818	8,792	8,756	8,705
Investments	757	757	757	757
Sundry Debtors	446	483	539	568
Cash & Bank Bal	1,053	1,622	2,583	3,700
Loans & Advances	6	6	6	6
Inventory	109	138	154	162
Other Current Assets	217	252	281	296
Total Current Assets	2,119	2,150	2,313	2,396
Curr Liab & Prov	2,590	3,258	4,322	5,490
Net Current Assets	471	1,108	2,009	3,094
Total Assets	**13,668**	**14,360**	**15,481**	**16,650**

Source: Company, Axis Securities

Cash Flow

(Rs Cr)

Y/E March	FY23	FY24E	FY25E	FY26E
PBT	1,376	1,618	2,014	2,180
Add: depreciation	416	426	437	451
Add: Interest	236	224	182	139
Cash flow from operations	2,028	2,268	2,632	2,770
Change in working capital	1,267	126	34	19
Taxes	323	393	489	530
Net cash from operations	438	1,749	2,109	2,221
Capital expenditure	(958)	(391)	(400)	(400)
Net cash from investing	252	(391)	(400)	(400)
Increase/Decrease in debt	(749)	(500)	(500)	(500)
Dividends	(64)	(65)	(65)	(65)
Proceedings from equity	0	0	0	0
Interest	(236)	(224)	(182)	(139)
Others	225	0	0	0
Net cash from financing	(824)	(789)	(747)	(704)
Net Inc./(Dec.) in Cash	(135)	568	962	1,117
Opening cash balance	1,188	1,053	1,622	2,583
Closing cash balance	1,053	1,622	2,583	3,700

Source: Company, Axis Securities

Ratio Analysis

(%)

Y/E March	FY23	FY24E	FY25E	FY26E
Sales growth	**90.1**	**6.3**	**9.6**	**3.4**
OPM	**31.1**	**30.7**	**32.5**	**32.4**
Oper. profit growth	345.8	5.0	16.0	3.3
COGS / Net sales	8.1	9.0	9.0	9.0
Overheads/Net sales	60.8	60.3	58.5	58.6
Depreciation / G. block	**3.6**	**3.5**	**3.5**	**3.5**
Effective interest rate	23.7	24.3	24.3	24.3
Net wkg.cap / Net sales	0.2	0.2	0.2	0.2
Net sales / Gr block (x)	0.5	0.5	0.5	0.5
RoCE	**15.0**	**15.9**	**19.2**	**19.9**
Debt / equity (x)	0.4	0.3	0.2	0.1
Effective tax rate	23.7	24.3	24.3	24.3
RoE	**13.2**	**12.8**	**13.7**	**12.9**
Payout ratio (Div/NP)	45.3	45.8	45.8	45.8
EPS (Rs.)	**7.4**	**8.2**	**10.1**	**10.8**
EPS Growth	(500.0)	10.1	23.8	7.0
CEPS (Rs.)	10.3	11.2	13.2	14.0
DPS (Rs.)	0.5	0.5	0.5	0.5

Source: Company, Axis Securities

Indian Hotels Price Chart and Recommendation History

Date	Reco	TP	Research
06-Sep-22	BUY	360	Initiating Coverage
14-Nov-22	BUY	360	Result Update
01-Feb-23	BUY	370	Result Update
02-May-23	BUY	385	Result Update
28-Jul-23	BUY	450	Result Update
30-Oct-23	BUY	415	Result Update
05-Feb-24	HOLD	525	Result Update

Source: Axis Securities

About the analyst

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Sector: Midcaps/ Pharma Sector

Analyst Bio: Ankush Mahajan is MBA (Finance) from SMVDU with over 12 years of research experience in the Midcaps/ Pharma Sector

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